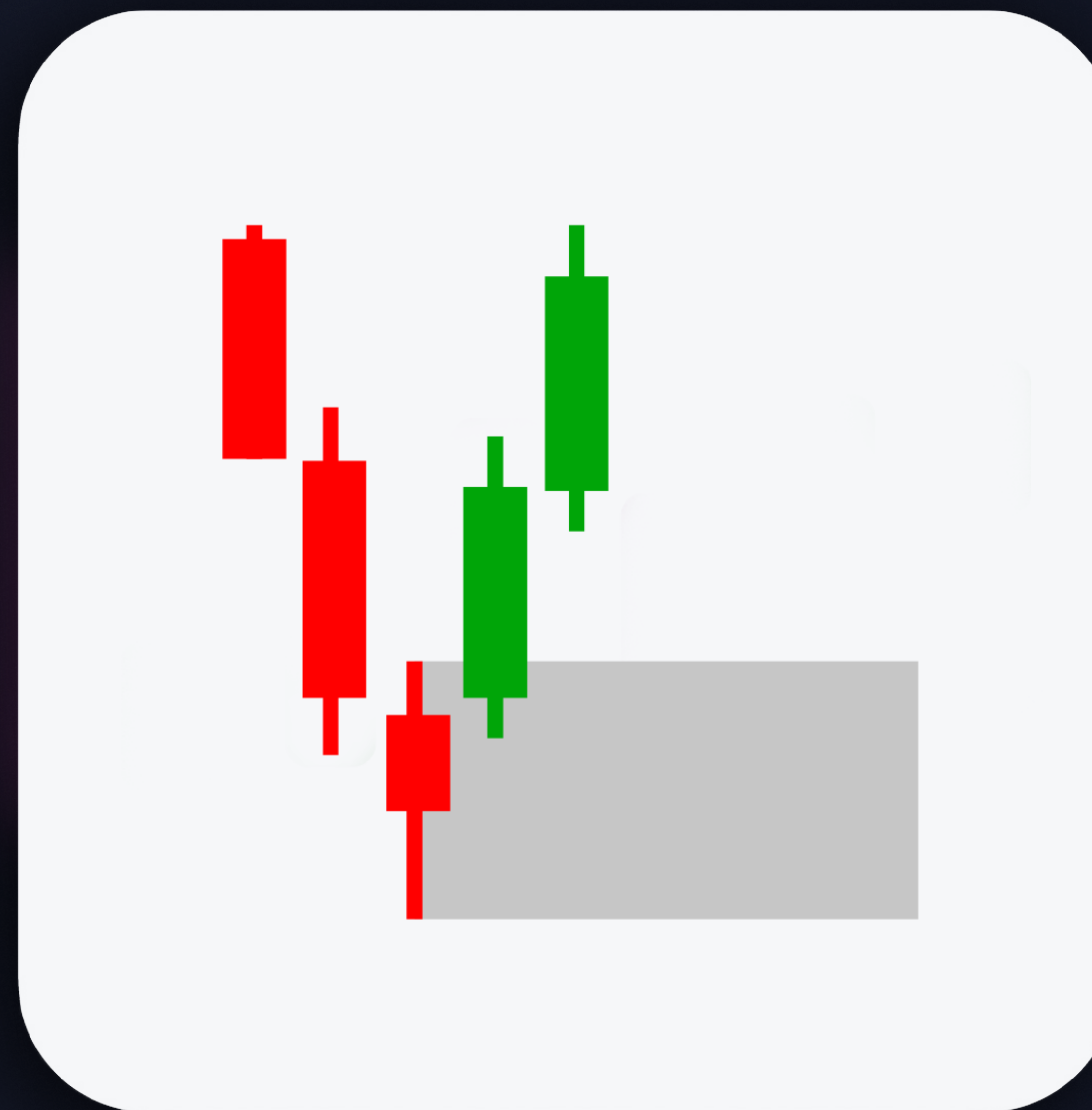


Order Blocks

Cheat Sheet



www.chartchampions.com



Order Blocks

An order block is a technique very used on Forex, Stock and Cryptocurrency markets.

We consider an Order Block when the price hits a key level: Fibonacci level, vPOC or tPOC, Daily, Weekly or Monthly horizontal levels, or the formation of a Swing Low or Swing High.

The higher the timeframe, the greater the move away from the bullish or bearish order block.



Advanced Strategies module: Order Blocks (5:51)



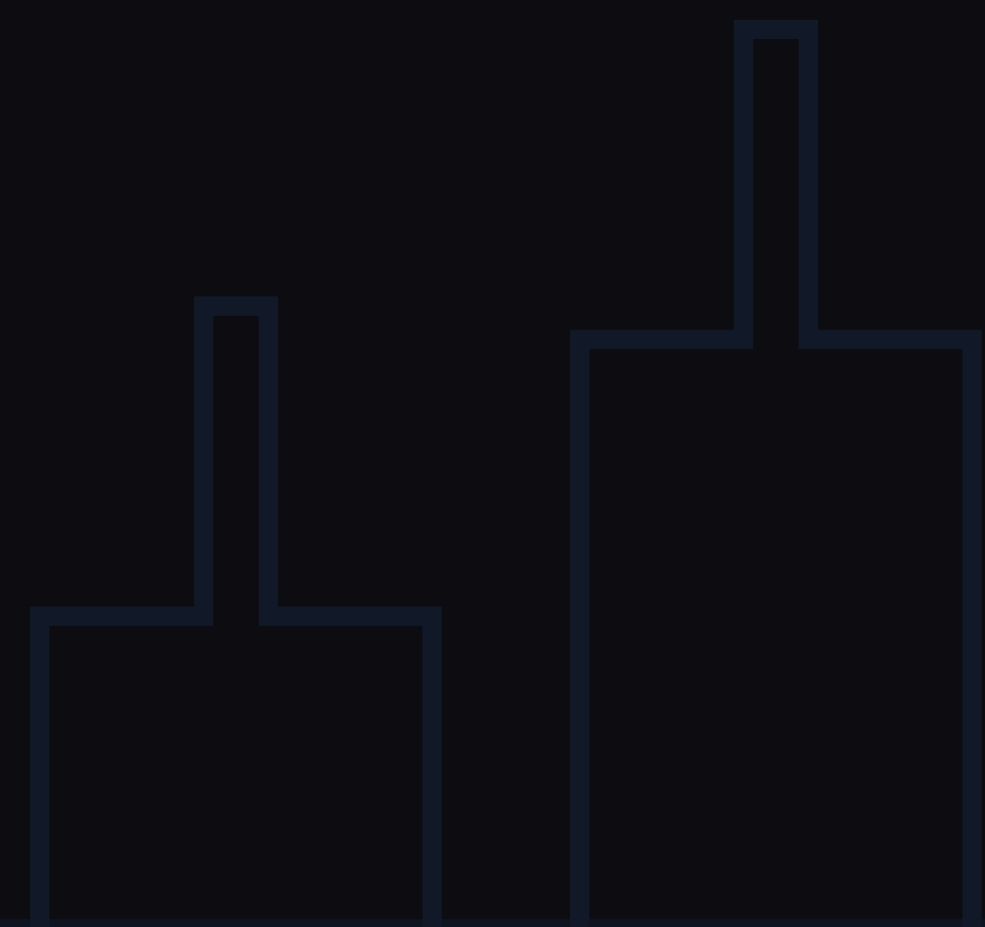


Bullish Order Block

A bullish order block is the last down or red closed candle formed at or near a key level of support.

The order block is confirmed when the next candle trades above the OB's high.

The most probable bullish OBs are followed by an impulsive price move up with imbalances and creating Single prints.



Advanced Strategies module: Order Blocks (9:12)





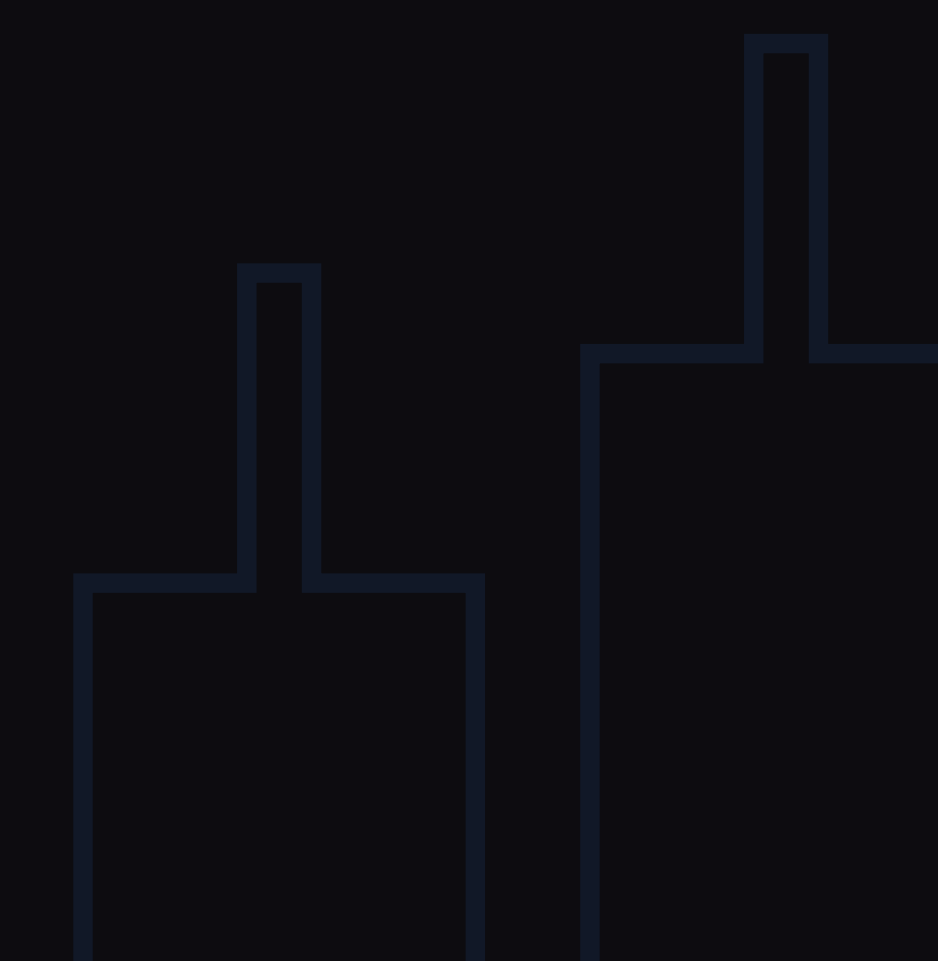
Bearish Order Block



A bearish order block is the last up or green closed candle formed at or near a key level of resistance.

The order block is confirmed when the next candle trades below the OB's low.

The most probable bearish OBs are followed by an impulsive price move down with imbalances and creating Single prints.



Advanced Strategies module: Order Blocks (10:15)



How to trade Order Blocks

In this bullish example, the price has reached a key level (1-1 Fibonacci Extension). Created a bullish OB, we use the 0.25 Range Tool to get the levels and set limit orders. The invalidation will be set below the swing low and we take profits using the next swing high formed as a reference.



Advanced Strategies module: Order Blocks (18:55)

In the order block candle, pull from Open to Close the .25 Range tool (Fibonacci). Set 4 ladder limit orders at the 0, .25, .50 and .75 levels.



For invalidation:

In a Bullish OB: We place a stop loss below the swing low where the order block formed.

In a Bearish OB: We place a stop loss above the swing high where the order block formed.

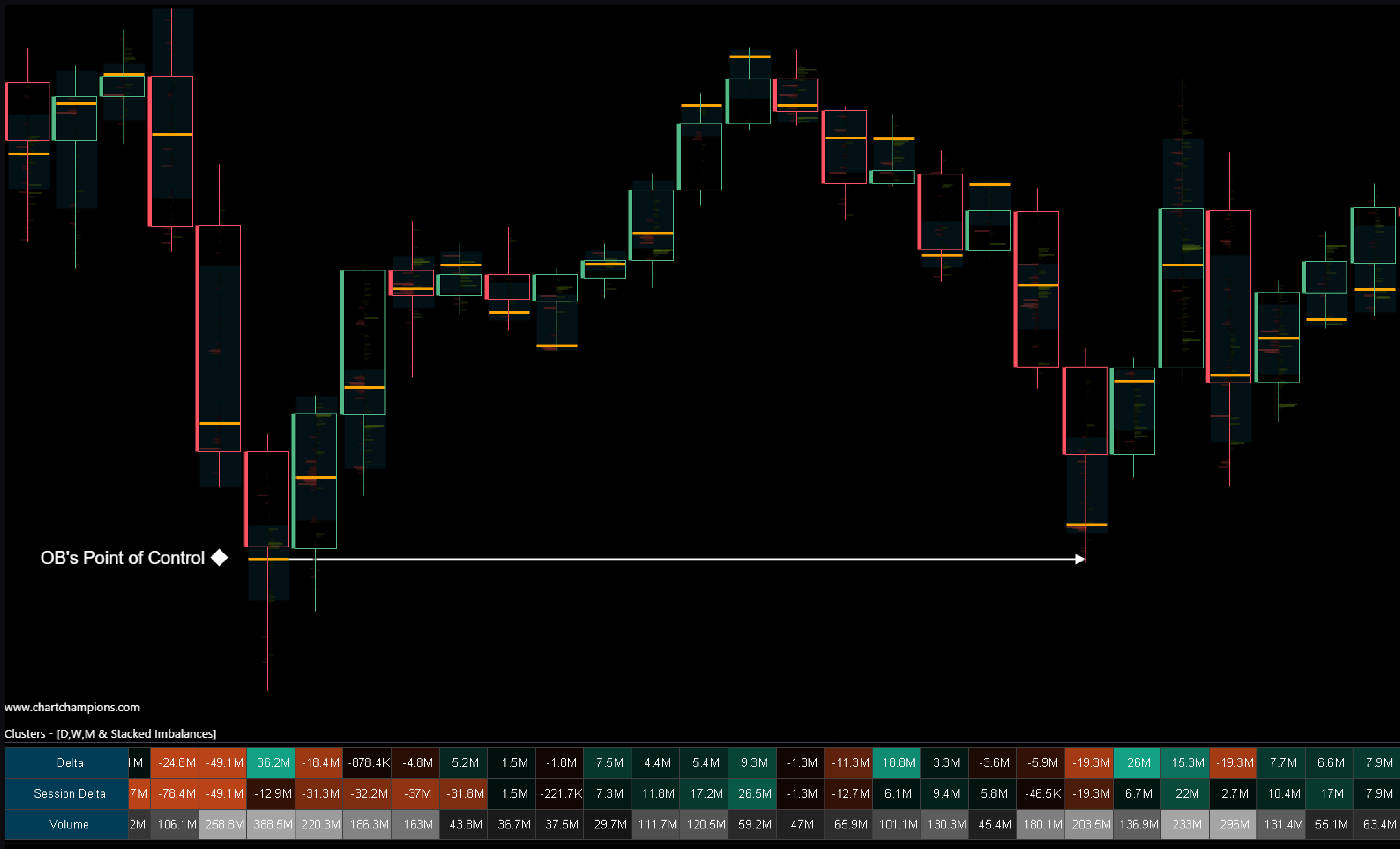
For taking profits:

Conservative: we can take profits at the opposite order block candle or the CC Fibonacci level.

Aggressive: the best place to take profits is above the next swing high or below the next swing low.



Advanced approach



We utilise specialised software like ATAS or Exocharts to examine the clusters using the Clusters template by Igor. We can now see various components such as Delta, Volume, Imbalances, Point of Control and other order flow parameters within the order block candle that will help to form a plan for a trade setup.

In this example, we can see the Point of Control of the OB's candle marking the exact low of the retest.



Advanced Strategies module: Order Blocks (20:50)